

Chapter 15. Stock Selection for the Enterprising Investor

1. *Mutual Funds and Other Institutional Investors: A New Perspective*, I. Friend, M. Blume, and J. Crockett, McGraw-Hill, 1970. We should add that the 1966–1970 results of many of the funds we studied were somewhat better than those of the Standard & Poor’s 500-stock composite and considerably better than those of the DJIA.

2. Personal note: Many years before the stock-market pyrotechnics in that particular company the author was its “financial vice-president” at the princely salary of \$3,000 per annum. It was then really in the fireworks business. In early 1929, Graham became a financial vice president of Unexcelled Manufacturing Co., the nation’s largest producer of fireworks. Unexcelled later became a diversified chemical company and no longer exists in independent form.

3. The *Guide* does not show multipliers above 99. Most such would be mathematical oddities, caused by earnings just above the zero point.